

PLAYING GREAT DEFENSE

The affluent tend to answer “yes” to three questions we include in our surveys:

1. Were your parents very frugal?
2. Are you frugal?
3. Is your spouse more frugal than you are?

This last question is highly significant. Not only are the most prodigious accumulators of wealth frugal, their spouses tend to be even more frugal. Consider the typical affluent household. Nearly 95 percent of millionaire households are composed of married couples. In 70 percent of these households, the male contributes at least 80 percent of the income. Most of these men play great offense in the game called income generation. Great offense in economic terms means that a household generates an income significantly higher than the norm, which in America is an annual realized income of approximately \$33,000. Most of these households also play great *defense*; that is, they are frugal when it comes to spending for consumer goods and services. One frugal high-income producer within the married-couple category, however, does not automatically translate into a high level of net worth. Something else must be present. A self-made millionaire stated it best when he told us:

I can't get my wife to spend any money!

Most people will never become wealthy in one generation if they are married to people who are wasteful. A couple cannot accumulate wealth if one of its members is a hyperconsumer. This is especially true when one or both are trying to build a successful business. Few people can sustain profligate spending habits and simultaneously build wealth.

ODE TO HIS FRUGAL WIFE